

Analyst Brief

INTRODUCTION

Given the data, we were tasked to answer the business question - “*What are the primary drivers for employee attrition, and which groups are at the highest risk of leaving - including the estimated cost of that attrition - so HR can prioritize retention strategies that are cost efficient*”.

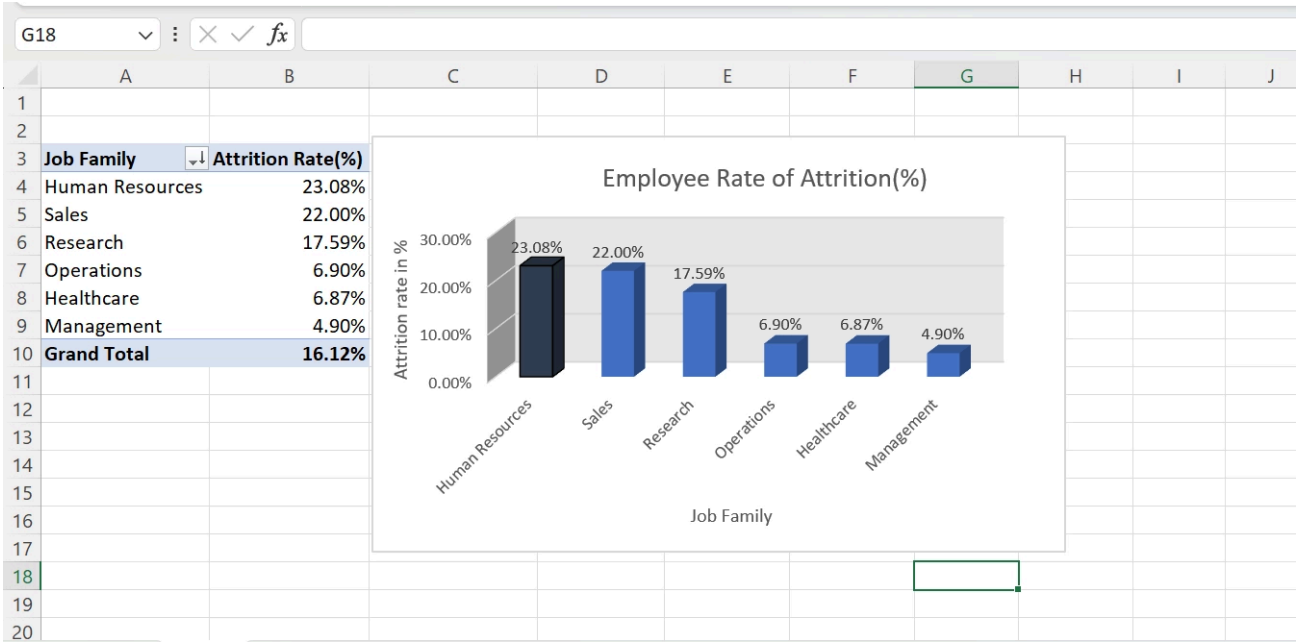
To achieve this we need a formula to calculate ‘Attrition.’ The formula for attrition as applicable with the dataset can be stated as:
attrition rate for any group (say, Job Family) is just a ratio — *of the employees in this group, to the fraction of employees that have "left"*

Attrition rate = COUNT OF LEAVERS / COUNT OF ALL EMPLOYEES per group

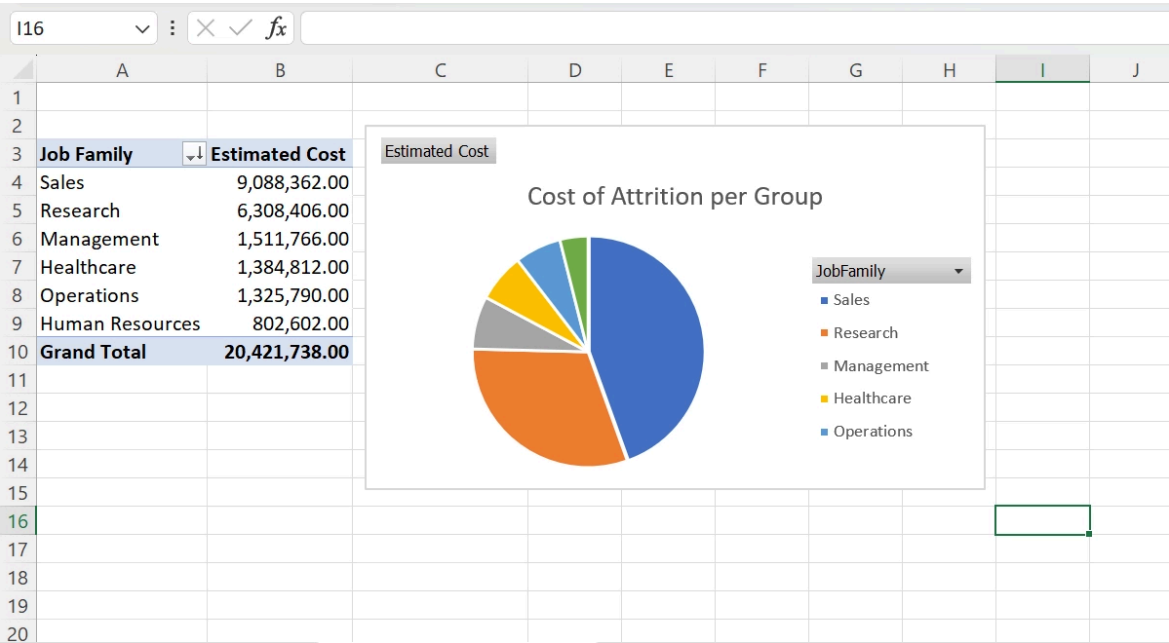
The Job Family of this set can defined by matching Job Roles to a specific ‘Job Group’ or ‘Family’ ensuring to preserve roles that spans multiple departments in the raw data.

<u>Job Role</u>	<u>Job Family</u>
Healthcare Representative	Healthcare
Human Resources	Human Resources
Laboratory Technician	Research
Manager	Management
Manufacturing Director	Operations
Research Director	Research
Research Scientist	Research
Sales Executive	Sales
Sales Representative	Sales

The Finding:



The company’s rate of attrition is 16.12%, with Sales and Research Job Groups contributing 85% to the total.



The Estimated cost of Employee replacement, using : 1.5 * annual salary calibrated on the SHRM industry scale of (x0.5 - x2.0)* annual salary as the cost of Attrition.

Recommendations:

From the data findings, the company should:

- Focus Company Retention Budget on Sales and Research Department.
- Tackle attrition as a departmental dependent variable first, before combatting company wide. The 85% from 2 out of 6 Job groups shows that attrition is heavily skewed towards the departments in the job groups.
- Do a departmental survey for each department to investigate further the cause of the attrition.**
- Prioritize the Sales Representative role specifically, not the Sales department broadly — this single role, concentrated in the sub-\$3K salary band, accounts for 37% of all Sales attrition while representing only 20% of Sales headcount. A targeted compensation review or retention incentive for this specific role/salary tier is likely to yield more measurable impact per dollar than a department-wide initiative.